

2018 C L D 1476

[Lahore (Bahawalpur Bench)]

Before Jawad Hassan and Muzamil Akhtar Shabir, JJ

UNITED BANK LIMITED---Appellant

Versus

RIAZ HUSSAIN and others---Respondents

R.F.A. No. 33 of 2017, heard on 10th September, 2018.

Financial Institutions (Recovery of Finances) Ordinance (XLVI of 2001)---

---Ss. 9(2), 7 & 22---Electronic Transactions Ordinance (LI of 2002), S. 4---Suit for recovery---Mandatory requirement of appending statement of account with plaint---Documents/record issued in electronic form---Effect of S. 4 of the Electronic Transactions Ordinance, 2002 on electronically issued statement of accounts---Plaintiff Bank impugned order of Banking Court whereby its suit was dismissed on ground that plaintiff Bank did not comply with S. 9(2) of Financial Institutions (Recovery of Finances) Ordinance, 2001 by failing to append proper statement of accounts---Validity---Banking Court failed to consider that electronic computer generated statements were admissible in evidence, which were filed with the plaint and duly verified on oath per the mandatory requirement of S. 9 of the Financial Institutions (Recovery of Finances) Ordinance, 2001---High Court observed that in modern banking, mostly statement of accounts were generated through the information systems, and being an electronic document, such statement of accounts did not require signature as per S. 4 of the Electronic Transaction Ordinance, 2002---All electronic modes were recognized as evidence under S. 4---Impugned order was set aside, and case was remanded to the Banking Court---Appeal was allowed, accordingly.

Mst. Tasleem Fatima and others v. Bank of Punjab and others 2017 CLD 552 and The Bank of Punjab through Branch/Chief Manager v. Messrs Khan Unique Developers Pvt. Ltd. through Chief Executive Officer and 9 others 2016 CLD 29 rel.

Muhammad Aurangzeb Khan for Appellant.

Respondents: Proceeded against ex parte vide order dated 29.5.2018.

Date of hearing: 10th September, 2018.

JUDGMENT

JAWAD HASSAN, J.---This is appeal filed under section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (the "Ordinance") against judgment and decree dated

01.04.2018.

2. Counsel for the Appellant states that the Appellant filed the banking suit against the Respondent before the Banking Court, Bahawalpur (the "Banking Court") under section 9 of the Ordinance. He states that pursuant to the filing of the suit, summons/notices were issued to the Respondent, but the Respondent did not appear, hence ex parte proceedings were initiated against him on 22.02.2016. He further states that the Banking Court was required to pass the judgment against the respondent under section 11 of the Ordinance, but he passed the said order by observing that the Appellant has not complied with the mandatory requirement of section 9(2) of the Ordinance against which no appeal was filed. Counsel for the Appellant states that the impugned judgment and decree was passed in violation of the requirement of sections 9 and 14 of the Ordinance and that the Appellant's suit was rightly filed along with proper statement of account duly verified as per section 9(2) under the Bankers' Books Evidence Act, 1891 (the "Act") and also by all other relevant documents relating to the grant of finance.

3. Arguments heard and record perused.

4. It is reflected from perusal of record that statement of account attached with the plaint are valid as per requirement of section 9(2) read with provisions of the Ordinance, but the Banking Court has failed to consider that electronic computer generated statements are admissible in evidence filed with the plaint duly verified on oath as per mandatory requirement of the Ordinance. We have examined the record and the statements which were duly appended along with the plaint. The Banking Court has acted against the record by stating that certain documents are not signed by any Banking Officer as provided under section 9(2) of the Ordinance and the Act. In the modern banking mostly the statement of account are generated through information system and such statement generated through the information system being electronic document does not require signature. Since the promulgation of the Electronic Transaction Ordinance, 2002, all electrical modes are recognized as evidence as per Section 4 of the said Ordinance. Already this issue has been dealt with by Division Bench of this Court in case titled "Mst. Tasleem Fatima and others v. Bank of Punjab and others" (2017 CLD 552), wherein it has been held as under:

"if statement of accounts did not bear signatures, the same would still have been admissible in evidence as it was electronically computer generated statement and there was no need to put a certificate on such accounts as prescribed by section 2(8) of Bankers' Books Evidence Act, 1891 and section 3 of Electronic Transactions Ordinance, 2002."

In another case reported as "The Bank of Punjab through, Branch/Chief Manager v. Messrs Khan Unique Developers Pvt. Ltd. through Chief Executive Officer and 9 others" (2016 CLD 29), it has been held as under:-

"In the present case, however, what the Plaintiff Bank has appended with the plaint are computer generated accounts. These accounts being the computer generated accounts/ledgers of the Plaintiff Bank, there was no need to put a certificate on the foot of such accounts as prescribed by section 2(8) of the Act and any officer of the Bank could sign the said accounts. As the original accounts have been appended with the suit,

which constitute primary evidence, there is no need to file a certified copy thereof which should in turn comply with the requirements of section 2(8) of the Act. It may again be emphasized that the requirement of putting a certificate at the foot of the statement, by virtue of section 2(8) of the Act, is in regard to a copy of the accounts for any entry contained therein and not for the original accounts. This issue has been touched upon in a judgment reported as Habib Metropolitan Bank Limited v. Mian Abdul Jabbar Gihlin 2013 CLD 88."

Resultantly for what has been discussed above, this appeal is allowed and impugned judgment and decree is set aside and the case is remanded to the Banking Court for decision afresh. The parties are directed to approach the Banking Court on 24.09.2018.

KMZ/U-6/L

Case remanded.